GMS WEEKLY

Your Source for Recycling News

January 10th, 2025
Week 2
Volume 268, Issue 1168

Highlights:

- **Supply increase.**
- **Higher profile.**
- **Sanction overdrive.**
- **Volatile.**
- **Gadani lags.**
- **Scan to download / view the Weekly on the GMS App!**

QUOTE of the WEEK

"Forget about style; worry about results."

– Bobby Orr

-- MARKET COMMENTARY --

SANCTION STATION!

This week earmarked President Biden placing sanctions against China's national shipping arm COSCO, on the basis of the company being a part of the Chinese military, blacklisting its energy / tanker division. In fact, the octogenarian went on quite the sanction spree this week with the U.S. reportedly sanctioning over 180 vessels and dozens of entities in Russia as well, in what has turned out to be an unprecedented Russia crackdown in the final days of his presidency. Although experts in the field are quick to affirm that China's COSCO sanction would likely not have the same impact as the 2019 sanctions did, but energy costs for nations on COSCOs supply-chain routes will likely face inflationary hiccups in the interim, the far-reaching effects of which are yet to be realized. Even oil futures reported hiccups towards the end of the week as the immediate effects on COSCO and Russia sent the barrel soaring to US$ 76.57 / barrel, a level not seen since last October. Additionally, the Baltic Index Dry Freight Index for dry bulk commodities jumped 8.2% by Friday, marking a second-consecutive week of firming rates. Still, the recycling traffic in both India and Bangladesh continued to surprise and impress (especially in India), where the water fronts reported a busy week of arrivals and deliveries. The pre-existing state of global economies also continues to persist in the wake of the unfolding present as the U.S. Dollar continues to hammer recycling nation currencies marking noteworthy increases by the week – including this one. Even steel prices affecting the ship recycling markets including domestic levels saw a weakening this week, with China leading the way in declining / cheaper steel that remains globally available. How far will India's ongoing steel tariffs assist Alang's ongoing performance, whilst Pakistani levels are just a hair away from an impending drop, remains to be seen.

Meanwhile, the various ship recycling nations endured another week of mixed performances as there has already been a marked contrast in terms of actually workable candidates compared to a very muted 2024, which saw the lowest volumes of overall units sold for recycling in over a decade. Indeed, and as stated above, several high profile and large(r) LDT vessels are being offered for sale this week, including a bevy of LNGs and Panamax bulkers, after a slower period of time where specialist small(er) LDT units, handy bulkers, and reefers remained the primary diet for sub-continent ship recyclers for a bulk of the year. It will therefore be interesting to see what finally becomes of these particularly old and sanctioned assets with nowhere to take them, or will they just be left to rot / become abandoned hazards at sea? With the HKC also gearing up to come into effect by the middle of this year, and yards yet to expeditiously gear up and align their operations with the requirements of the convention, it is likely that 2025 will be another hallmark year characterized by volatility, extreme and unpredictable moves / events that can turn markets in an instant, and financial worries for those yards that have redirected and even borrowed funds for yard upgrades and may end up suffering through ongoing tonnage shortages that deter their recovery from their financial liabilities. Prices are therefore likely to present their share of volatility over the course of the year, highlighted by the unfolding sanctions that would affect the supply of vessels, especially in the short-term. While the sub-continent ship recycling destinations continue on from last week in relatively the same state without much fanfare as this week winds up, not much remains changed, even in Turkey, where the only movements reported by the week, are on the Lira. Viva 2025.

GMS demo rankings / pricing for week 2 of 2025 are on Page 5.

BANGLADESH

VAT WOES

Cooling.

As Bangladesh continues to battle economic uncertainty after one of the worst years in the nation's history, the situation doesn't seem to be getting any better as government reserves continue to deplete amidst a dithering recovery under a temporary government that doesn't seem to have gotten their administrative gears in mesh just yet, as the economy continues to lose traction through its unfolding inflationary disaster. In ongoing attempts to correct this trajectory, the government unexpectedly announced that the National Board of Revenue would be planning a rate hike in the VAT by the middle of the fiscal year, despite widespread concerns that this move will stoke inflation even more and further degrade economic activities – something that could see domestic steel transactions, ship recycling prices, and overall demand from this market start to retreat even more. On the one hand, although the rationale behind such an action is to assist with the interest repayments on the IMF's upcoming remittances, on the other, yard upgrades, vessel negotiations, and everything near and far related to even affecting the price of steel, will be greatly diminished.

Unexpected hike.

And as the possibility of lower offers on future vessels seems well within the limit of a few weeks from now and the negative sentiment continues to permeate, Bangladesh could soon slip past India and end up closer to Pakistani levels, which themselves are roiled in a similar situation. Yet, Bangladesh somehow seems to be worse off, as key economic factors affecting an imminent return to a recovery path also need to address (at the very least), prevailing political instability, banking sector instability, elevated (and likely to rise again) inflation, high interest rates (especially for local businesses), and the mother of all worries, the seemingly uncontrollable exchange rate volatility.

Falling.

And still certifying the latter is the ongoing performance of the Bangladeshi Taka that has, for the last 2+ quarters, suffered at the hands of the U.S. Dollar as it ends the week nearly 1% weaker and at a comparatively weaker BDT 120.96, despite having nearly breached BDT 122 once again. Local steel plate prices seem to be the only anchor keeping ship recycler sentiments in check, as despite being flatlined yet again, they remain suspended at a comparatively healthier USD 529.41/Ton. And although this has helped maintain local sentiments steady enough to the where current vessel offers are still the highest in the industry, it has certainly helped bring in another 2 small tankers with a total weight of just about 6.5K LDT at Chattogram's anchorage. Just how will Biden's COSCO sanction affect the general inflow of future wet units into Bangladesh, remains to be seen. For now, Chattogram Choppers have managed to avoid a Gadani-gate of an empty port report.

Exuberance.

Overall, despite retaining pole position on the market rankings, the Bangladeshi market seems to cool a shade this week, even though a decent number of local sales (reportedly including a VLCC) and several unsold vessels are still trying to find their respective final resting grounds before the customary Chinese New Year slowdown drives things to a screeching halt. And those ship owners and excited cash buyers who were banking on a post-2024 Bangladesh at levels firmer than those currently unraveling, are having their expectations at the bidding tables continue to take a beating, especially as over-aggressive cash buyers with unsold vessels bought at higher rates are now starting to suffer and pay the price for their exuberance.

NO MARKET SALES REPORTED

INDIA

2024 STUCK!

Like Bangladesh, the Indian market continues to strut through an unexpected January 2025 with the poor performance of the Indian Rupee that continues to fluctuate against the strengthening U.S. Dollar and has remained as the primary deterrent keeping Alang recyclers from improving their prices over the last fortnight or so. Especially as it blew industry players expectations out of the water and ended the week at levels approaching Rs. 86.20 – adding another (yet solid) excuse that recyclers have on their itemized list of justifications to present behind their lower offers, despite varying degrees of economically positive news that continue to enter the market.

Rupee deterrant.

At the ship recycling outset and unlike Bangladesh and Pakistan, India's foreign reserves greatly exceed them, which cements India's ability to not only offer a stable interest rate to domestic recyclers, but also a steady inflow of U.S. Dollars and L/Cs that has already helped nearly all Alang ship yards up to mark for the upcoming HKC rules by the middle of the year, and helped Alang become a destination of less economic concern for incoming deliveries via fewer renegotiations at the waterfront.

Tariffs due.

And speaking of, just like Chattogram, Alang has not marked an empty port report through all of 2024 and even so far in 2025, where this week, 6 vessels and nearly 58K LDT lies idling or delivered to their respective owners. This tonnage will certainly keep trade with domestic steel mills active, which have been the only ones registering any movements in the sub-continent over recent weeks, ending the week on a downward trajectory and a Rupee short, at USD 459.94/Ton. And although the expectation **is** that the tariffs intended to curtail the import of damagingly cheaper Chinese steel that continues to collapse week after week causing continued and tremendous pain to steel markets in both India and Pakistan last year (when it consistently undercut local steel inventories), the ongoing dither in Chinese plate levels doesn't look like it's done with the Indian sub-continent steel markets just yet.

Stuck in 450s.

Whether the ongoing declines in Chinese steel eventually trickle down to the sub-continent markets, remains to be seen.

For now, however, despite the otherwise (and comparatively) strong state of the India economy, vessel prices aren't displaying any positive signs or movements and perhaps, won't do so any time soon as they currently lie stubbornly stuck in the mid USD 450s/LDT on most dry vessels, of which, Alang recyclers seem destined to be getting more of. Moreover, with the budget just a fortnight away and expectations of positive news running high, India remains the go to place for all types of tonnages, including those that require SoC certified HKC recycling yards as a final destination.

NO MARKET SALES REPORTED

PAKISTAN

ECONOMIC FRACTURES!

Slow moves.

Worse of than Bangladesh is the Pakistani market where in addition to having crippling effects on its economy with inflation still high, a near and total lack of available L/Cs has essentially bought the nation's ship recycling sector to a complete halt for the last 4 months, as Gadani's anchorage presents another empty position yet again this week. And although Gadani recyclers have been bobbing their heads above the waterline to check the prevailing recycling weather of late, this sector has, for the most part since the advent of Q4 2024, remained underwater.

The fractured state of the nation economy is the key driver behind Pakistan's ongoing financial distresses. With loans lying in the balance of pending investigations, domestic economists predicting return of inflation into double digits, and the World Bank's promised aid that is still hanging in the balance as reported in last week's edition of the GMS WEEKLY, the Gadani gang seem to all be preparing for the upcoming feast, with meals yet waiting to thaw.

Reluctant to invest.

As a result of the indecisiveness and the government curtailing the issuance of large U.S. Dollar value L/Cs on non-essential domestic expenses, large Dollar value transactions out of the country have all but halted leaving the Pakistani Rupee as one of the most stable ship recycling nation currencies of all, across 2024. On the back of minimal fluctuations within a PKR 2 limit where it fluctuated and eventually ended every week in 2024, including this week one, where it wound up 35 basis points weaker, at PKR 278.32. Even the lack of domestic trade in ship's steel has left Pakistani plate prices stranded at the (comparatively) healthiest level of USD 639.37/Ton in the ship recycling industry.

Stay relevant?

Even if offers / indications seem to be improving ever so slowly in Pakistan (at a snail's pace and fraught with confusion / nerves), Gadani ship recyclers stand to face another herculean challenge post-June 2025 once the HKC comes into effect, unless they initiate upgrading their yards in time. Given the ongoing reluctancy on part of Gadani recyclers to expend finances and efforts on their yards, which themselves have hardly seen any ships being delivered over the last couple of years and as a result, (likely) see these upgrades as an unwarranted (at this time) and unworthy of investment / upgrades.

Nevertheless, if buyers in Pakistan can display a touch more courage, confidence, and most importantly, stability at the time of taking deliveries of incoming units, perhaps only then can they secure some of the market / private tonnage before the HKC cutoff mid-year and continue to do so thereafter, helping the nation stay relevant in the ship recycling game in the years ahead. Adding hope for the future was this week's additional announcement that the United Arab Emirates (UAE) would rollover a parked USD 2 Billion, further assisting the Pakistani government maintain their level of U.S. Dollar reserves and providing a silver-lining to the otherwise ailing economy. Q1 looks like it is gearing up to be a tricky January for the country, just like its Indian sub-continent counterparts.

NO MARKET SALES REPORTED

TURKEY

JOLLY!

Quiet Q1.

As week 2 of 2025 wraps up in Turkey, they seem to be jolly, celebrating an over-extended Christmas break with virtually nothing to report on local offerings, local deliveries, movements in local and import steel prices, except for the Turkish Lira, which seems determined to head on its pilgrimage of obscurity, as it records another 23 basis point reduction that saw it close the week scratching TRY 34.45 against the U.S. Dollar.

With freight rates set to climb again, the Dollar continually devaluing, and no change in vessel prices to offset the ongoing declines clearly indicates the "on holiday" mode of Aliaga Buyers given that there have been no local fixtures of late, in order to button down where levels truly stand today.

Quiet Q1 on the cards it would seem!

NO MARKET SALES REPORTED

GMS Weekly – Market Rankings

For Week 2 of 2025, GMS Market Rankings / vessel indications are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	**Stable**	460 / LDT	480 / LDT	490 / LDT
2	India	**Stable**	455 / LDT	475 / LDT	485 / LDT
3	Pakistan	**Stable**	450 / LDT	470 / LDT	480 / LDT
4	Turkey	**Weak**	310 / LDT	320 / LDT	330 / LDT

ODD ONES.

- *Nearly half of Australia's birds and 90 percent of its mammals, reptiles and frogs are found nowhere else on the planet.*
- *Americans discard roughly 36 million tons of plastic each year, which is more than any other country. But the plastic recycling rate has languished below 10 percent for decades.*
- *Rats are prodigious breeders, with one pair having the potential to produce 15,000 descendants in a year.*
- *Food allergies have been increasing in prevalence over the past 20 years, though it is not clear why. Some 5.5 million children and 13.6 million U.S. adults have food allergies, and many are allergic to more than one food.*
- *For the 2022 movie "Avatar: The Way of Water," the actress Kate Winslet, after considerable training, held her breath underwater for seven minutes and 15 seconds (some Navy Seals never break three minutes).*
- *Palm oil, an environmentally destructive ingredient in our diets, can be found in bread, instant noodles, Girl Scout cookies, lipstick, Nutella and ice cream, to name a few.*
- *During the peak of a total solar eclipse, a rainbow within its path turns red as shorter wavelengths of light, like blue and green, are more easily scattered at totality.*
- *America's approximately 100 historically Black colleges and universities have produced at least 70 percent of the country's Black doctors and dentists; half of the Black lawyers; and 40 percent of Black engineers.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**DELIVERY TIDES**
January 14 – Pongal January 25 – Republic Day	December 29 – January 06 January 11 – January 18

BANGLADESH	
BANK HOLIDAYS	**DELIVERY TIDES**
No holidays in January	January 02 – January 05 January 15 – January 18

BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
January 28 – February 04 – Chinese New Year / Spring Festival Holiday	**No holidays in January**	**No holidays in January**

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ALANG - Port Position as of January 10, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Bow Clipper	11,277	Tanker	*Delivered January 06*
2	Enzo	17,398	Oil Tanker	Arrived January 04
3	Karam 14	3,169	Bulk Carrier	Arrived January 08
4	Lady Cedros	17,823	Bulk Carrier	Arrived January 08
5	MSC Esha F	4,950	Container	*Delivered January 04*
6	Nevelsk	2,993	General Cargo	*Delivered January 08*
Total Tonnage		**57,610**		

CHATTOGRAM - Port Position as of January 10, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Ark Progress (Dead Vessel)	2,635	Tanker	Arrived January 04
2	*New Smile*	*1,969*	*Tanker*	*Delivered January 04*
3	Ulsan Gas	1,814	LPG Tanker	Arrived January 04
Total Tonnage		**6,418**		

GADANI - Port Position as of January 10, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
		No new vessels reported		
Total Tonnage		**-**		

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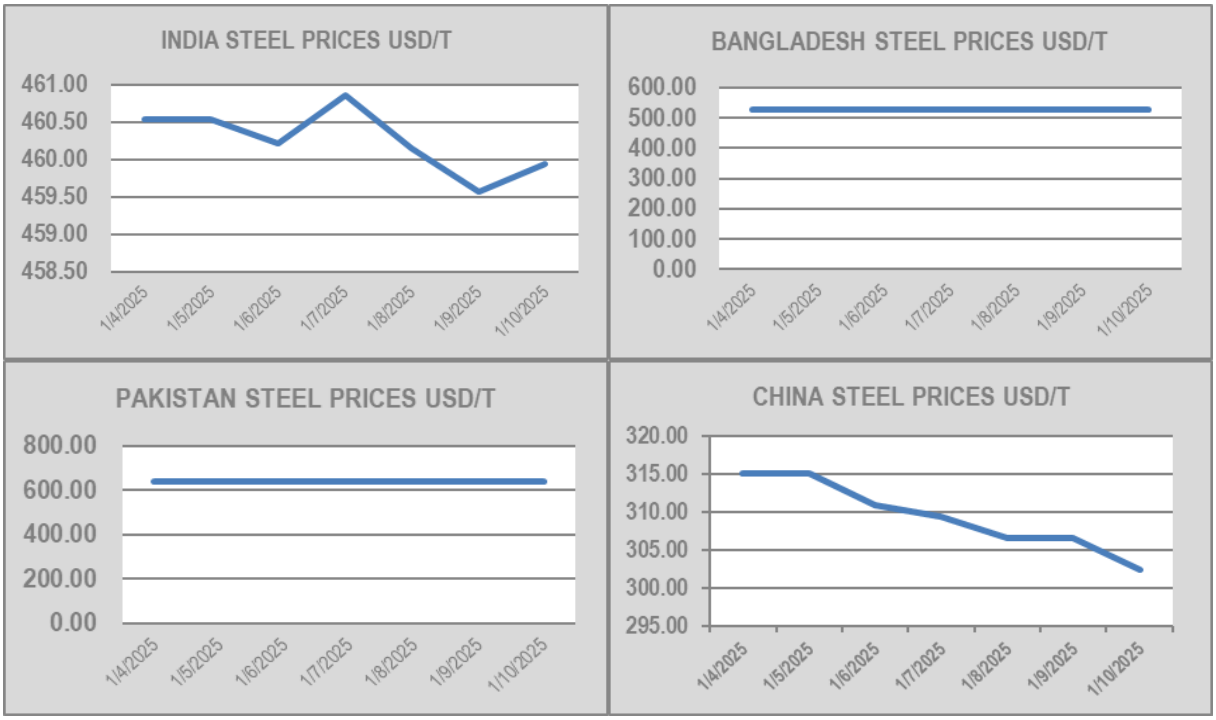
DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
1/4/2025	460.53	39,500.00	639.37	178,000.00	529.41	63,000.00	315.22
1/5/2025	460.53	39,500.00	639.37	178,000.00	529.41	63,000.00	315.22
1/6/2025	460.21	39,500.00	639.37	178,000.00	529.41	63,000.00	310.95
1/7/2025	460.86	39,500.00	639.37	178,000.00	529.41	63,000.00	309.55
1/8/2025	460.16	39,500.00	639.37	178,000.00	529.41	63,000.00	306.73
1/9/2025	459.57	39,500.00	639.37	178,000.00	529.41	63,000.00	306.73
1/10/2025	459.94	39,500.00	639.37	178,000.00	529.41	63,000.00	302.54



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